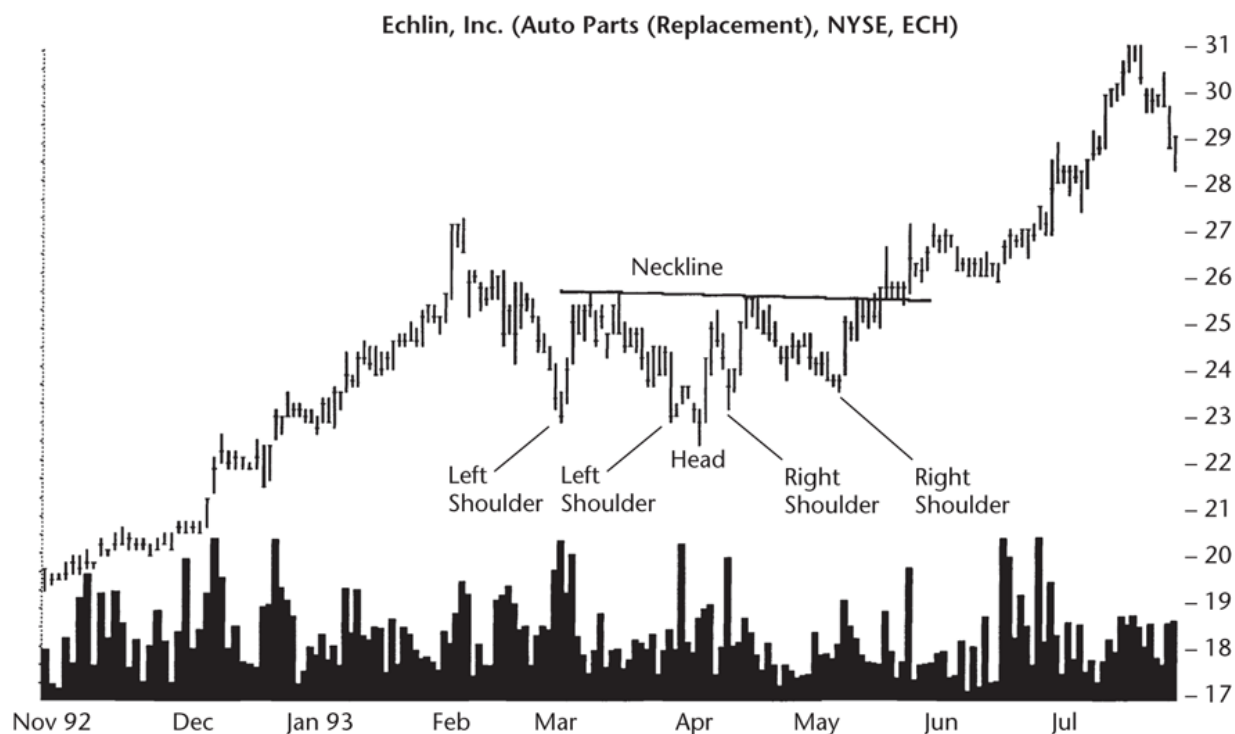




**Figure 40.3** A complex head-and-shoulders consolidation. The trend resumes moving up once the formation completes.

**Symmetry.** In this case, there is a normal head-and-shoulders bottom flanked by an additional pair of shoulders. The overall pattern appears symmetrical. The two left shoulders match the two on the right in distance. In this example, the two right shoulders are higher than their corresponding left ones. However, do look for symmetry between the shoulders, both in time and price.

**Volume.** The figure shows the typical volume pattern: The two left shoulders show higher volume than the two right ones. Overall, volume recedes over the length of the chart pattern.

**Near horizontal neckline.** The neckline connects the highest peak to the left of the head(s) with the highest peak to the right of the head(s). Most of the time the neckline is horizontal or nearly so. Many of the patterns shown in this chapter have near-horizontal necklines. If you see a steep neckline, then recheck your work to make sure you're looking at a valid complex bottom.

**Breakout direction.** For those patterns with up-sloping necklines, use the highest high on the right side of the head(s) in the complex bottom as the